Intuit at half price: a Quality Growth compounder priced for disruption that likely won't come

Intuit (INTU) trades at $345 — a 45% decline year-to-date and its lowest P/E multiple in over a decade — yet the business has never been stronger. Revenue grew 16% to $18.8B in FY2025, Stocktitan sec free cash flow hit $6.1B (32% margin), and the company guides to 12–13% revenue growth for FY2026 intuit with accelerating operating margin expansion. The market's fear — that generic AI will commoditize tax preparation and small-business accounting — misunderstands both the depth of Intuit's data moat and the structural switching costs that keep 100 million customers locked in. At **22x trailing earnings and 14x free cash flow**, an investor gets a wide-moat business with 8–12 years of double-digit growth runway, elite capital allocation, and a management team so confident in the disconnect that its founder and entire executive suite terminated all pre-scheduled stock sales in March 2026. Stocktitan The Globe and Mail

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The financial profile of a genuine compounder

Intuit's financial trajectory tells the story of a platform business hitting its stride. Revenue has compounded at **19% annually over five years** (FY2019–FY2024), MacroTrends accelerating to 16% in FY2025 as AI-driven products gained traction and Credit Karma recovered. Intuit The company operates across four segments that together create a financial data flywheel: Global Business Solutions (QuickBooks, payments, payroll, Mailchimp) at **$11.1B and 59% of revenue**; Consumer (TurboTax) at **$4.9B**; Intuit Intuit Credit Karma at **$2.2B**; and ProTax at **$621M**. intuit

The margin story is equally compelling. GAAP operating margins expanded from 20.2% (FY2022) to 26.1% (FY2025), while non-GAAP operating margins reached **40.2%** intuit — a 480bps improvement over three years. Gross margins hover near **81%**, reflecting software economics with minimal cost-of-goods. R&D spending runs at 15.6% of revenue, declining as a percentage even as absolute investment grows to $2.9B. Most critically, Intuit converts earnings into cash at an exceptional rate: **FCF/net income consistently exceeds 1.5x**, driven by non-cash charges (stock compensation, amortization of acquired intangibles) that inflate the gap between GAAP earnings and cash generation.

Metric	FY2022	FY2023	FY2024	FY2025	FY2026E

Revenue	$12.7B	$14.4B	$16.3B	$18.8B	$21.1B
Revenue growth	32%	13%	13%	16%	12%
GAAP operating margin	20.2%	21.9%	22.3%	26.1%	27.5%
Free cash flow	$3.7B	$4.8B	$4.6B	$6.1B	~$6.8B
FCF margin	28.8%	33.3%	28.5%	32.3%	~32%
Diluted EPS	$7.27	$8.42	$10.43	$13.67	~$19.75E

The balance sheet is clean. Net debt stands at **$3.75B** against EBITDA of $5.9B, yielding a conservative **0.6x net debt/EBITDA ratio**. Intuit holds $4.6B in cash and short-term investments. Greendotstocks The $6.0B in long-term debt (weighted average rate ~3.8%) is comfortably serviceable with interest coverage of **15x**. Capital expenditure remains trivially small at $124M (0.7% of revenue), confirming the asset-light nature of a pure software business.

Four moats that compound over time

Intuit's competitive advantages are structural, interconnected, and — crucially — strengthening with scale. Unlike many "wide moat" designations that depend on a single factor, Intuit benefits from **layered defenses** that together create an increasingly formidable position.

Switching costs form the primary barrier. QuickBooks is not just accounting software — it is the operating system for small business finances. DCF Modeling Years of transaction history, customized chart of accounts, integrated payroll runs, payment processing workflows, and tax filing dependencies create enormous friction. Featured Over **50,000 certified QuickBooks ProAdvisors** (accountants and bookkeepers) recommend and configure the platform for their clients, The Office Squad creating a two-sided lock-in where both the SMB and its accountant depend on the same system. Retention runs at approximately **80%**, Incrementalreturns and the churn that does occur largely reflects small business failure rates rather than competitive switching. TurboTax benefits from prior-year data auto-population, familiar interfaces, and the time pressure of tax season Incrementalreturns — only **34% of TurboTax users even consider alternatives**, per a 2025 Citi survey.

The data moat is Intuit's most underappreciated asset. Forty years of financial data from 100 million customers, Klover encompassing **180 petabytes**, Fast Company **580,000 financial attributes per small business**, and **60,000 tax attributes per consumer**,

Intuit cannot be replicated. Intuit processes **$890 billion in money movement** and **$336 billion in payroll** annually. Fast Company It imports 20 billion transactions from 24,000 financial institutions. Intuit This creates a self-reinforcing AI advantage: more data produces better predictions (60 billion ML predictions per day), Intuit Intuit which deliver better products, which attract more customers, which generate more data. Generic AI models (ChatGPT, Gemini) operate without this proprietary financial graph — they can answer tax questions but cannot match Intuit's accuracy on personalized financial advice trained on hundreds of millions of actual tax returns and business outcomes. CBS News

Network effects amplify the position. The QuickBooks ecosystem includes 800+ third-party app integrations (Shopify, Amazon, Square, ADP), Porter's Five Forces creating a platform effect where each additional integration increases the value for all users. The accountant network — 50,000+ ProAdvisors versus Xero's roughly 10,000 — creates a self-perpetuating adoption cycle. The Office Squad Universities certify approximately 25,000 students annually on QuickBooks, seeding the next generation of users and advisors. Incrementalreturns

Brand dominance rounds out the moat portfolio. TurboTax commands approximately **60% of U.S. DIY tax filing**, DCF Modeling processing 74 million federal returns annually. QuickBooks holds **62–80% of U.S. SMB accounting software** market share. Fit Small Business +2 Both brands have achieved "default choice" status Greendotstocks — the safe, trusted option in categories where reliability matters enormously.

AI is Intuit's weapon, not its vulnerability

The market narrative driving the 45% YTD decline centers on a simple fear: that ChatGPT and similar AI tools will commoditize tax preparation and bookkeeping. This thesis fundamentally misreads the competitive dynamics.

Intuit launched **Intuit Assist** — its GenAI-powered financial assistant — across all products in late 2024. The system has evolved into **agentic AI** capable of autonomous task execution: reconciling books, sending payment reminders, creating invoices from photos, drafting marketing campaigns, and completing tax returns with 93% form automation. The underlying infrastructure, **GenOS** (Intuit's proprietary Generative AI Operating System), orchestrates sec over **2 million AI models** in production. Moor Insights & Strategy Intuit has secured a **$100M+ licensing agreement with OpenAI** and a **multi-year partnership with Anthropic** (announced February 2026) to integrate Claude models into enterprise products. stockanalysis

The critical distinction is domain specificity. Tax preparation requires precise compliance with annually changing federal and state tax codes, accurate application of complex rules to

individual circumstances, LinkedIn integration with IRS e-filing systems, and liability for accuracy. Generic LLMs hallucinate, lack filing integration, and carry zero regulatory accountability. CNBC While 26% of consumers experimented with AI for tax-related questions in 2026, CBS News tax professionals uniformly warn against reliance on generic AI for actual filing. Atlanta News First Intuit's models, trained on hundreds of millions of verified tax return outcomes, deliver fundamentally different accuracy than general-purpose language models.

AI investments are already flowing to the bottom line. Management reported **$90M in annualized efficiencies** from AI in H1 2025, contributing to the 340bps non-GAAP margin expansion. The company is transitioning from "Software-as-a-Service" to "Agent-as-a-Service," where AI agents perform tasks previously requiring human intervention — enabling premium pricing for automated expert-level service (TurboTax Live revenue grew **47% YoY** to ~$2.0B). Intuit Rather than commoditizing Intuit's business, AI appears to be **expanding its addressable market** by allowing it to compete in the $30B+ assisted tax preparation category previously served only by human CPAs.

A $300B TAM with only 6% penetrated

Intuit's growth runway extends well beyond its current $21B revenue base. Against a management-cited **total addressable market exceeding $300B** Yahoo Finance (presented at the September 2025 Investor Day), current penetration stands at roughly 6%.

The **mid-market opportunity** represents the most immediate catalyst. Intuit Enterprise Suite (IES), launched in September 2024, targets companies with 50–500 employees — a segment traditionally served by NetSuite, Sage Intacct, and Microsoft Business Central. IES carries an approximately **$20,000 annual ARPU** Bestanchorstocks Stockopine (versus ~$1,000–$3,000 for standard QuickBooks Online), and early traction is strong: January 2025 signings ran at **2x November 2024 levels**, with win rates for $10M+ revenue businesses at 2x smaller accounts. stockopine Stockopine Management has stated that "mid-market will one day be bigger than the entire business group." Investing.com Stockopine With 800,000 existing QBO customers eligible for upgrade, Stockopine the upsell path is clear. stockopine Data Insights Market

International expansion remains nascent. International revenue represents only **8% of total** Intuit (~$1.5B), Intuit concentrated in Canada, UK, and Australia. QuickBooks user geography is 86.5% U.S., 5.5% Canada, 3.8% UK, Ace Cloud Hosting and 4.2% rest of world. The global SMB accounting market Porter's Five Forces of $19–21B (growing at 8–10% CAGR) Grand View Research is dominated by competitors like Xero (dominant in Australia/NZ) and Sage (strong in Europe), BlogYouNeed but Intuit's playbook — start with core

accounting, then layer tax, payroll, payments, and marketing — is designed for geographic replication.

Credit Karma is entering a reacceleration phase after a macro-depressed FY2024. Revenue surged 32% sec to $2.2B in FY2025 Intuit as lending conditions improved. TradingView With 130M+ members Tearsheet and only ~10% penetration of the $23B+ digital financial services marketplace, the bull case for Credit Karma as a $5–8B standalone business over time is credible. The integration with TurboTax creates year-round consumer financial engagement that no competitor can match.

At consensus growth rates of 12–14%, Intuit reaches approximately **$37–41B in revenue by FY2031** — still well under the $71B core platform TAM, Yahoo Finance with mid-market and international providing decades of additional runway beyond that.

Management quality among the best in enterprise software

CEO **Sasan Goodarzi**, who took the helm in January 2019 Simply Wall St Entrepreneur after 15 years at Intuit, has delivered **144% cumulative revenue growth and ~21% annualized stock returns** through his tenure. His prescient 2019 declaration of an "AI-driven expert platform" strategy sec — years before generative AI became mainstream — positioned Intuit ahead of the AI wave rather than scrambling to respond. Intuit

Capital allocation has been disciplined and shareholder-aligned. The **Credit Karma acquisition** ($8.1B, December 2020) Wikipedia Fortune has seen revenue roughly double from ~$1B to $2.2B, with growth reaccelerating to 27–36%. The **Mailchimp acquisition** ($12B, November 2021) Getlatka at ~15x revenue was premium-priced, but the integration into the QuickBooks ecosystem is proceeding well, Porter's Five Forces with online ecosystem revenue growing 20%+ consistently. Share buybacks have accelerated to **$3.3B TTM**, Greendotstocks and in March 2026, founder **Scott Cook** Stocktitan (4.36% ownership, ~$7.6B in shares) WallStreetZen and the entire executive team **terminated all pre-scheduled 10b5-1 stock sale plans** Stocktitan — an extraordinary signal of insider confidence during the selloff.

The dividend has grown at **~15% annually** Full Ratio **for 15 consecutive years**, with a conservative 31% payout ratio providing substantial room for continued increases. Governance is best-in-class: single-class stock with equal voting rights, fully independent board, proxy access, clawback provisions, and separation of Chair and CEO roles. sec Guidance reliability is effectively 100% over the last 12 quarters, with management maintaining a **consistent beat-and-raise pattern** that builds investor credibility. Bestanchorstocks

Valuation offers asymmetric upside from historical lows

The current valuation represents an extraordinary departure from Intuit's historical norms. At **22x trailing earnings**, the stock trades at a **60%+ discount to its 5-year average P/E of ~57x**. VCP Scanner On a forward basis, FY2027 estimates of $26.32 EPS imply a **13.1x forward P/E** — territory typically reserved for no-growth or declining businesses, not a company guiding to mid-teens earnings growth.

Multiple	Intuit	Salesforce	Adobe	ServiceNow	Veeva
TTM P/E	**22.2x**	20.8x	12.8x	49.4x	27.2x
EV/EBITDA	**15.3x**	13.0x	9.3x	28.7x	24.5x
P/FCF	**14.1x**	10.8x	8.9x	19.0x	17.8x
Revenue growth	~17%	~10%	~11%	~21%	~16%
Net margin	21.6%	18.0%	29.5%	13.2%	28.4%
FCF margin	34.0%	34.7%	42.1%	34.4%	43.4%

Intuit's growth rate exceeds Salesforce and Adobe but its P/E sits in the same range — despite higher switching costs and a more defensible data moat than either peer. ServiceNow commands a 2x premium multiple for marginally higher growth. The **7.1% FCF yield** (highest in at least five years) provides downside support rarely available in high-quality software.

A simple DCF at 10% FCF growth (below consensus) and 9% WACC implies approximately **$425 per share** — 23% above current price. At analyst consensus growth rates (12–15%), intrinsic value ranges from **$470 to $570**. The median analyst price target of **$663** implies 93% upside. Even assigning a conservative 20x multiple to FY2027 EPS yields **$526** — 52% above today's price.

The key risk is that AI disruption fears prove justified and TurboTax's moat erodes faster than expected. Morningstar downgraded Intuit from Wide to Narrow moat in 2025 on this basis. Morningstar However, the elimination of the IRS Direct File program (killed November 2025 by the Trump administration), Center on Budget and Policy Priorit Government Executive the domain-specific accuracy requirements of tax compliance, and Intuit's own aggressive AI investments make this bear case improbable within the 3–5 year investment horizon. A more nuanced risk is that the broad tech multiple compression persists, limiting near-term re-rating regardless of fundamentals.

Conclusion: rare opportunity to own a compounder at a value price

Intuit represents the uncommon intersection of Quality Growth characteristics — **81% gross margins, 34% FCF margins, 15-year dividend growth streak, best-in-class governance, expanding moats** — and deep value pricing. The stock's 45% decline reflects macro-driven tech compression and an AI disruption narrative that overstates the threat to a company that is, paradoxically, one of the largest beneficiaries of the AI revolution in enterprise software.

Three catalysts could drive re-rating within 12–18 months. First, the **Q3 FY2026 tax-season earnings** (May 21, 2026) will reveal whether TurboTax Live's AI-powered expansion is accelerating share gains in the $30B assisted filing market. Second, **mid-market traction** with Intuit Enterprise Suite — if IES growth sustains at 40%+, it validates the largest TAM expansion opportunity in the company's history. stockopine Stockopine Third, **normalization of the tech multiple environment** would alone drive significant returns: even partial reversion to a 30x P/E on FY2027 EPS implies $790.

For patient investors, the risk/reward is asymmetric. Downside is limited by a 7.1% FCF yield, aggressive insider-backed buybacks, Investing.com and a business model that generates more cash each year regardless of stock price. Upside is substantial if the market recognizes that Intuit's 40-year data moat, 100-million-customer ecosystem, Klover and aggressive AI investments make it the most defensible name in application software. The current price pays roughly 14x free cash flow for a company that has compounded FCF at 18%+ annually for a decade. That is the type of disconnect that Quality Growth investing exists to exploit.